Havana Specialist Hospital, Delegation of Authority and Reserved Matters

Prepared for: The Board of Havana Specialist Hospital Limited

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Status: Draft for the Company Secretary to formalise, for People and Remuneration to recommend, and for the Board to adopt

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Classification: Confidential

> **This schedule is the single, authoritative map of who may decide what at Havana Specialist Hospital: what is reserved to the shareholders, what is reserved to the Board, what is delegated to a board committee, what is delegated to the Afya-HSH Governance Committee, and what management runs day to day. It is built to be exhaustive (every category of decision is covered, and a residual rule catches anything not named) and unambiguous (each matter has exactly one decision owner at one authority level). Naira thresholds shown as `[Band n]` are placeholders for the Board to set; the structure holds whatever the numbers are.**

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1. Purpose and status

The Delegation of Authority (DOA) exists so that every decision has a clear, single owner, so that authority is matched to accountability, and so that the line the Afya-HSH Governance Committee and management cannot cross is written down rather than assumed. It protects both founding families in practice, because it keeps the strategic levers with the owners and the Board while letting the hospital run efficiently day to day.

The DOA is a **board-adopted instrument**. It is drafted and administered by the Company Secretary, recommended by the People and Remuneration / Nominations Committee (with Finance and Audit input on the financial bands), and formally **adopted by the Board**. It is not settled by any single officer. Once adopted, it binds all directors, committees, and management until amended by the Board.

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2. How to use this schedule

2.1 Authority levels (the "decision owner" codes)

Every matter below names exactly one decision owner, using these codes:

Code	Decision owner
S	Shareholders (owners), by the required majority
B	The full HSH Board
FIOC	Finance, Investment and Operations Committee
ARC	Audit and Risk Committee
QCGC	Quality and Clinical Governance Committee

Code	Decision owner
RemCo	People and Remuneration / Nominations Committee
T&D	Transformation and Digital Committee
GC	Afya-HSH Governance Committee (joint)
M	Management (the Medical Director and the Afya executive)

Where a row shows "rec: X", that party **recommends or prepares** the matter, but the named owner **decides**. Recommending is not deciding; this keeps one, and only one, accountable owner per matter.

2.2 The financial bands (set once, applied everywhere)

All money decisions use one consistent ladder, so a Naira figure alone tells you who decides:

Band	Range (indicative, Board to set)	Owner
Band 1	up to `[N2,000,000]` per item, within approved budget	M
Band 2	`[N2,000,000]` to `[N10,000,000]`	GC
Band 3	`[N10,000,000]` to `[N50,000,000]`	B
Band 4	above `[N50,000,000]`, or any reserved matter	B, and S where marked

Aggregation rule: a series of related transactions is treated as one for banding, so a spend cannot be split to stay under a limit.

2.3 The rules that make the schedule exhaustive and unambiguous

1. **Residual (catch-all) rule.** Any matter **not expressly delegated** below is **reserved to the Board**. Nothing falls through the cracks by omission.
2. **Higher-authority rule.** If a matter could fall under two owners, the **higher** authority governs (S over B, B over a committee, a committee over GC, GC over M).
3. **Escalation rule.** Below a stated threshold, the owner decides and reports upward by exception. At or above it, the matter escalates one level. **When in doubt, escalate.**
4. **Within-authority rule.** A delegated owner may act only **within approved budget and policy**. Anything outside budget or policy escalates, regardless of amount.
5. **No sub-delegation without limits.** Management may sub-delegate operational authority internally only within written limits approved by the GC; committees and the GC may not sub-delegate their board-delegated authority.
6. **Dual control on money out.** All payments above `[Band 1]` require two authorised signatories, and the person who approves a transaction may not also be its sole executor.
7. **Emergency rule.** Where a decision cannot wait for the normal owner, the Board Chair (or, for clinical emergencies, the Medical Director) may act, provided the action is reported to, and ratified by, the proper owner at the earliest opportunity.
8. **Conflict rule.** Any owner with a personal, family, or related-party interest in a matter recuses; the decision passes to the next appropriate level (see 4.13).

3. Reserved matters (non-delegable)

The following are **always** decided at Board or Shareholder level, regardless of amount, and can never be settled by a committee, the GC, or management. This list is a consolidated view of the reserved rows in section 5; it does not create a separate authority.

Reserved to the Shareholders (S):

- Changes to the constitution, memorandum, or articles.
- Changes to share capital, share issues, or shareholding structure.
- Dividends and distributions.
- Sale, merger, acquisition, or winding-up of the company or a material part of it.
- Any change to, or termination of, the Afya management or partnership agreement.
- Related-party transactions above `[Band 4]`.

Reserved to the Board (B):

- Vision, strategy, and the annual business plan and budget.
- Risk appetite and the enterprise risk register.
- Appointment or removal of the Medical Director, the external auditor, and the Company Secretary.
- Board and committee composition, chairs, and terms of reference (and this DOA).
- Opening or closing a service line or facility; material capital projects (Band 3+).
- Borrowing, guarantees, and security over assets.
- Approval of the annual operating plan and KPIs under the Afya agreement.

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4. The delegation matrix

Each matter appears once, under one domain, with one decision owner. Domains are chosen to be mutually exclusive; the residual rule (2.3.1) covers anything unnamed.

4.1 Strategy, corporate and shareholder matters

Matter	Owner	Threshold / notes
Constitution, articles, share capital, shareholding	S	rec: B
Sale, merger, acquisition, or winding-up	S	rec: B
Dividends and distributions	S	rec: B (on FIOC advice)
Creation or dissolution of subsidiaries or JVs	S	rec: B
Vision, long-term strategy	B	rec: management, tested by the Board
Annual business plan	B	rec: FIOC and management

4.2 Governance, board and policy

Matter	Owner	Threshold / notes
Board and committee composition, chairs, ToR	B	rec: RemCo; formal nomination process
This Delegation of Authority and reserved matters	B	rec: RemCo; ARC on the financial bands
Board-level policies (conflicts, whistleblowing, etc.)	B	rec: the relevant committee
Director induction, evaluation, remuneration framework	B	rec: RemCo
Company Secretary appointment and secretariat	B	rec: RemCo

4.3 Financial planning, reporting and controls

Matter	Owner	Threshold / notes
Annual budget and capital plan	B	rec: FIOC
In-year budget reforecast	FIOC	material change to B
Monthly and quarterly management accounts	FIOC	reviewed; exceptions to B
Annual financial statements, going concern	B	rec: ARC
Internal control framework and internal audit plan	ARC	breaches and material findings to B
Accounting policies	ARC	rec to B where material

4.4 Capital expenditure and investment

Matter	Owner	Threshold / notes
Capex or investment within budget	M / GC / B	by Band (1 / 2 / 3)
Capex or investment outside budget	B	any amount; rec: FIOC
Major capital projects and business cases	B	Band 3+; appraised by FIOC
Investment of surplus funds / treasury placements	FIOC	within a board-approved policy

4.5 Operating expenditure, procurement and contracts

Matter	Owner	Threshold / notes
Operating spend within budget	M / GC / B	by Band
Supplier and service contracts	M / GC / B	by Band and contract value

Matter	Owner	Threshold / notes
Single-source or vendor-managed arrangements	GC	Board noted; related-party checks apply
Multi-year or above-Band-3 commitments	B	rec: FIOC

4.6 Treasury, banking, borrowing and financing

Matter	Owner	Threshold / notes
Bank accounts, mandates, signatory limits	B sets; M operates	dual authorisation above Band 1
Borrowing, loans, overdrafts	B	reserved; S above `[Band 4]`
Guarantees, indemnities, security over assets	B	reserved
Foreign-exchange and hedging	FIOC	within a board-approved policy

4.7 The Afya partnership

Matter	Owner	Threshold / notes
Any change to or termination of the Afya agreement	S	rec: B; cannot be settled by GC
Annual operating plan and KPIs under the agreement	B	rec: GC
Day-to-day operation within the agreement	GC	monthly tracking; exceptions to B
Performance disputes or remedy under the agreement	B	on escalation from GC
Independent assurance over Afya's delivery	ARC / QCGC	standing quarterly review at B

4.8 People, appointments and remuneration

Matter	Owner	Threshold / notes
Appointment or removal of the Medical Director / senior executives	B	rec: RemCo
Executive and director remuneration framework	B	rec: RemCo; conflicted parties recuse
Organisation structure and headcount plan	GC	within budget; major change to B
Senior hires below executive level	M	within approved structure and budget
HR policy and industrial matters	GC	material or precedent-setting to B

4.9 Clinical governance, quality and patient safety

Matter	Owner	Threshold / notes
Clinical quality and patient-safety standards and policy	B	rec: QCGC
Serious clinical incidents	Escalate immediately	QCGC and B notified without delay
Credentialing and scope-of-practice standards	QCGC	within board policy
Accreditation strategy	B	rec: QCGC
Day-to-day clinical operations and protocols	M	under the Medical Director

4.10 Risk, compliance, legal and regulatory

Matter	Owner	Threshold / notes
Risk appetite and the enterprise risk register	B	owned and maintained by ARC
Compliance framework and breaches	ARC	material breaches to B
Litigation, settlements, regulatory matters	M / B	Band 1 to M with ARC noted; above, to B
Regulatory licences and statutory filings	M	non-compliance escalates to ARC and B
Data protection and information-security policy	B	rec: T&D and ARC

4.11 Assets, property and disposals

Matter	Owner	Threshold / notes
Acquisition or lease of property	B	rec: FIOC; S if material
Disposal or write-off of assets	M / GC / B	by Band; reserved if a service line
Major maintenance and facilities projects	GC / B	by Band

4.12 IT, digital, data and information security

Matter	Owner	Threshold / notes
Technology and digital roadmap	B	rec: T&D
Major system selection and implementation	B	Band 3+; rec: T&D
Data governance and cyber-security controls	T&D	material incidents to ARC and B
Routine IT operations and spend	M / GC	by Band

4.13 Related parties and conflicts of interest

Matter	Owner	Threshold / notes
Related-party transactions (families, Afya, advisers)	ARC / B / S	ARC clears to [Band 2]; B to [Band 4]; S above
Register of interests and recusals	RemCo owns; Company Secretary keeps	reviewed at each meeting
Directors' conflicts on any matter	The director recuses	decision passes up one level

4.14 External affairs, brand and communications

Matter	Owner	Threshold / notes
Corporate brand, public statements, media	GC	reputational or crisis matters to B
Government, regulator, and institutional engagement	B / M	strategic to B; operational to M
Partnerships and MoUs (non-Afya)	GC / B	by materiality and Band

4.15 Insurance

Matter	Owner	Threshold / notes
Insurance programme and cover levels	GC	material changes and D&O cover to B
Claims	M	above Band 1 to GC; material to B

4.16 Anything not listed here

Matter	Owner	Threshold / notes
Any matter not expressly delegated above	B	the residual rule (2.3.1)

5. Interpretation, adoption and review

- **Interpretation.** The Company Secretary is the first point of reference for how to read this schedule. Genuine ambiguity is resolved by the higher-authority and escalation rules, and, if still unclear, by the Board Chair pending Board confirmation.
- **Adoption.** This DOA takes effect only when adopted by the Board, on the recommendation of the People and Remuneration Committee, with the financial bands set by the Board on Finance and Audit advice.
- **Administration.** The Company Secretary maintains the master copy, records any decision taken outside these limits for ratification or reversal at the next Board meeting, and holds the register of interests.

- **Review and version control.** Reviewed at least annually, and on any material change to the Afya agreement, the shareholders' agreement, or the company's structure. Each version is dated and numbered, and supersedes the last.

Prepared by Dr Debo Odulana for the Havana Specialist Hospital board. Consult for Africa. Confidential. This is a governance instrument, not legal advice; the reserved matters and thresholds should be checked against the shareholders' agreement and the Afya management agreement before adoption.